

Exercise 2
Group Homework (GHW#1)
Hopkins / Levitt: Executive compensation, financial reporting issues, and reporting incentives
Aka: GHW-Hopkins/Levitt

In this exercise you are asked to consider issues related to executive compensation and reporting incentives.

Attached Readings:

1. Redacted letter from Richard A. McGinn (CEO of Lucent Technologies) to Deborah C. Hopkins
2. The "Numbers Game" Remarks By SEC Chairman Arthur Levitt

Requirements: The three requirements for this exercise are:

- 1. Read the “Letter to Hopkins from McGinn” and complete the following requirements.**
 - 1.1 Summarize the primary components of the compensation package that Lucent is offering to Hopkins and the estimated total compensation for her first year on the job.
 - 1.2 Overall, do you think the compensation package that Hopkins received is appropriate? Take a position and be prepared to defend your position during the class session.
- 2. Read Levitt’s “The number game” and complete the following requirements.**
 - 2.1. Levitt discusses five common accounting gimmicks corporations allegedly used to manage reported earnings. In what ways do you think the use of accounting gimmicks might affect the vibrancy of an economy? Why?
 - 2.2. Levitt provides nine suggestions for improving the accounting framework. Which of these do you think may be most beneficial for reducing the types of inappropriate accounting you identified in 2.1? Which do you think may be unproductive? Explain your answers
- 3. Read “Misleading Metrics?” and complete the following requirements.**
 - 3.1. What are non-GAAP metrics?
 - 3.2. Do you feel non-GAAP metrics are beneficial, neutral, or detrimental in helping investors value equity securities in U.S. markets? Explain.
- 4. After having read Hopkins’ letter, Levitt’s article, and the Misleading Metrics article, complete the following requirement.**
 - 4.1. Analyze the potential risks that Hopkins’ compensation contract discussed in 1.1 above may have on Lucent’s external financial reporting

Redacted letter from Richard A. McGinn Chairman and CEO of Lucent Technologies to Deborah C. Hopkins

April 21, 2000

Ms. Deborah C. Hopkins

Dear Debby:

It gives me great pleasure to offer you an Officer position within Lucent Technologies Inc. (hereinafter "Lucent" or the "Company"). This letter completely supersedes and replaces the prior offer of employment dated April 13, 2000. In addition to confirming my offer, this letter sets out the terms and conditions of your employment and outlines the current major features of Lucent's compensation and benefit plans and practices.

ASSUMPTION OF DUTIES: Effective on or about April 21, 2000, you will assume the position of Executive Vice President and Chief Financial Officer reporting to me. Your work location will be in Murray Hill, New Jersey.

OFFICER COMPENSATION COMPONENTS: The Company's fiscal year begins October 1 and ends September 30. During the fiscal year 2000 (i.e., the fiscal year commencing October 1, 1999), Officer compensation will consist of three components: base salary, Short Term Incentive Award, and stock options under the Long Term Incentive Program. These components are described below.

BASE SALARY: Your initial annual base salary will be \$650,000. Officers are paid monthly at the end of each month. Your base salary will be reviewed from time to time in accordance with the Company's merit review process and may be increased, but will not be decreased by the Company.

LUCENT SHORT TERM INCENTIVE AWARD: The Lucent Short Term Incentive Plan consists of two awards: Lucent and Individual. The award structure is based 50% on Company performance (Lucent Award) and 50% on individual performance (Individual Award). Your target bonus opportunity is 100% of your base salary (i.e., $100\% \times \$650,000 = \$650,000$). Since you will be joining us after the beginning of the fiscal year, the Lucent and Individual Awards would normally be prorated for service during the fiscal year. However, solely for fiscal year 2000, the Company will guarantee that you will receive a Short Term Incentive Award at no less than target (i.e., \$650,000). Awards for fiscal year 2000 are payable in December 2000. The amount in excess of the pro-rata amount will not be included as eligible earnings for benefit purposes under any employee or officer benefit plan.

LUCENT STOCK OPTIONS: In fiscal year 2001 (i.e., the year beginning October 2000), you will be eligible to receive annual stock option grants under the Lucent Technologies Inc. 1996 Long Term Incentive Program ("LTIP") commensurate with your position. The plan provides for supervisory assessment of your performance in awarding options. As with the Short Term Incentive, Long Term Incentives are closely linked with performance and with the Company's strategy to meet the challenges of an ever-changing marketplace. The Company cannot guarantee continuation of the LTIP in its current format, nor can it guarantee annual grant levels to individual participants.

HIRING INCENTIVE: In order to encourage you to join Lucent and to address forfeitures from your current employer, the Company will provide you with the following:

The Compensation Committee of the Board has approved a hiring grant of 650,000 stock options under the LTIP. The term of such options is ten years with vesting over a period of three years as

follows: 33 1/3 % vesting on the first anniversary from the date of grant, 33 1/3% vesting on the second anniversary from the date of grant and 33 1/3% vesting on the third anniversary from the date of grant. The option price will be equal to 100% of the market price on date of grant. It is expected that half of such options will be granted on your hire date, and the remaining half will be granted 30 days later (or, if such day is not a trading day for Lucent stock, on the next preceding day that is a trading day). The specific terms of your stock options, subject to the Company's LTIP, will be contained in an individual Stock Option Agreement consistent with the general form that has been provided to you, as adjusted in accordance with the provisions of this offer letter.

The Compensation Committee of the Board has approved a hiring grant of 120,000 Restricted Stock Units under the LTIP. Vesting for 70,000 of the Restricted Stock Units will be over a period of three years as follows: 33 1/3% vesting on the first anniversary of the date of grant, 33 1/3% vesting on the second anniversary of the date of grant and 33 1/3% vesting on the third anniversary of the date of grant. The remaining 50,000 Restricted Stock Units will cliff vest four years after the date of grant (i.e., 100% will vest on the fourth anniversary of the date of grant). The grant will be made as of your hire date.

The Company will pay you a cash sign-on bonus of \$4,000,000, less applicable taxes, within two days after your hire date.

The Company will work with Chase Bank, or another bank it may choose, to facilitate its approval of a mortgage on your new home in New Jersey of up to \$1,500,000 (but not more than 50% of the value of the house) to you.

You will be eligible for full relocation benefits at no after-tax cost to you, including reimbursement of exploratory trips, temporary housing for up to four (4) months and expenses of the actual physical move (but not including boat transportation). Commencing promptly upon your acceptance of this offer letter, you will make your reasonable best efforts to sell your current principal residence and your boat. Upon such sales, the Company will reimburse you for any loss you may suffer, determined with reference to your costs of acquiring and making capital improvements to the residence (estimated to be \$1.934 million) and of acquiring the boat (estimated to be \$298,000), as well as commissions, closing costs, and reasonable carrying costs for the residence and the boat (including actual interest charges, taxes, and insurance). You will keep the Company apprised of the progress of such sales efforts and advise it in advance of your intention to accept any offer. A relocation counselor will be immediately available to discuss your case.

...

Sincerely,
Richard A. McGinn, Chairman and Chief Executive Officer
/s/ Deborah C. Hopkins April 21, 2000

Acknowledged and Agreed to: Date
Deborah C. Hopkins

Redacted letter

The "Numbers Game"
Remarks By Chairman Arthur Levitt
Securities And Exchange Commission
Nyu Center For Law And Business,
New York, N.Y.

SEPTEMBER 28, 1998

Thank you very much. Dean Daly, Dean Sexton and to everyone gathered this evening, thank you for welcoming me tonight. I am honored to be here on such an auspicious evening for both NYU and Bill Allen.

The creation of the Center for Law and Business recognizes an important truth: we cannot continue to view the worlds of business and law as parallel but separate universes. And NYU could not have selected a more qualified or thoughtful individual than Bill as its first director. His leadership of the Delaware Court of Chancery -- acknowledged as the nation's most influential arbiter of corporate law -- confirmed his reputation as a great thinker who effortlessly bridges the worlds of law and business. I've heard from friends on Wall Street that it's a far less stressful experience to hear Bill lecture in front of a classroom than from his former seat on the bench.

Seven months ago, I expressed concerns about selective disclosure. Through conference calls or embargoed press releases, analysts and institutional investors often hear about material news before it is made public. In the interval, there is a great deal of unusual trading. The practice had been going on for a long time. And, while everyone was aware of it, and most were extremely uncomfortable with it, few spoke out. As the investor's advocate, the SEC did and we will continue to do so.

Well, today, I'd like to talk to you about another widespread, but too little-challenged custom: earnings management. This process has evolved over the years into what can best be characterized as a game among market participants. A game that, if not addressed soon, will have adverse consequences for America's financial reporting system. A game that runs counter to the very principles behind our market's strength and success.

Increasingly, I have become concerned that the motivation to meet Wall Street earnings expectations may be overriding common sense business practices. Too many corporate managers, auditors, and analysts are participants in a game of nods and winks. In the zeal to satisfy consensus earnings estimates and project a smooth earnings path, wishful thinking may be winning the day over faithful representation.

As a result, I fear that we are witnessing an erosion in the quality of earnings, and therefore, the quality of financial reporting. Managing may be giving way to manipulation; Integrity may be losing out to illusion.

Many in corporate America are just as frustrated and concerned about this trend as we, at the SEC, are. They know how difficult it is to hold the line on good practices when their competitors operate in the gray area between legitimacy and outright fraud.

A gray area where the accounting is being perverted; where managers are cutting corners; and, where earnings reports reflect the desires of management rather than the underlying financial performance of the company.

Tonight, I want to talk about why integrity in financial reporting is under stress and explore five of the more common accounting gimmicks we've been seeing. Finally, I will outline a framework for a financial community response to this situation.

This necessary response involves improving both our accounting and disclosure rules, as well as the oversight and function of outside auditors and board audit committees. I am also calling upon a broad spectrum of capital market participants, from corporate management to Wall Street analysts to investors, to stand together and re-energize the touchstone of our financial reporting system: transparency and comparability.

This is a financial community problem. It can't be solved by a government mandate: it demands a financial community response.

THE ROLE OF FINANCIAL REPORTING IN OUR ECONOMY

Today, America's capital markets are the envy of the world. Our efficiency, liquidity and resiliency stand second to none. Our position, no doubt, has benefited from the opportunity and potential of the global economy. At the same time, however, this increasing interconnectedness has made us more susceptible to economic and financial weakness half a world away.

The significance of transparent, timely and reliable financial statements and its importance to investor protection has never been more apparent. The current financial situations in Asia and Russia are stark examples of this new reality. These markets are learning a painful lesson taught many times before: investors panic as a result of unexpected or unquantifiable bad news.

If a company fails to provide meaningful disclosure to investors about where it has been, where it is and where it is going, a damaging pattern ensues. The bond between shareholders and the company is shaken; investors grow anxious; prices fluctuate for no discernible reasons; and the trust that is the bedrock of our capital markets is severely tested.

THE PRESSURE TO "MAKE YOUR NUMBERS"

While the problem of earnings management is not new, it has swelled in a market that is unforgiving of companies that miss their estimates. I recently read of one major U.S. company, that failed to meet its so-called "numbers" by one penny, and lost more than six percent of its stock value in one day.

I believe that almost everyone in the financial community shares responsibility for fostering a climate in which earnings management is on the rise and the quality of financial reporting is on the decline. Corporate management isn't operating in a vacuum. In fact, the different pressures and expectations placed by, and on, various participants in the financial community appear to be almost self-perpetuating.

This is the pattern earnings management creates: companies try to meet or beat Wall Street earnings projections in order to grow market capitalization and increase the value of stock options. Their ability to do this depends on achieving the earnings expectations of analysts. And analysts seek constant guidance from companies to frame those expectations. Auditors, who want to retain their clients, are under pressure not to stand in the way.

ACCOUNTING HOCUS-POCUS

Our accounting principles weren't meant to be a straitjacket. Accountants are wise enough to know they cannot anticipate every business structure, or every new and innovative transaction, so they develop principles that allow for flexibility to adapt to changing circumstances. That's why the highest standards of objectivity, integrity and judgment can't be the exception. They must be the rule.

Flexibility in accounting allows it to keep pace with business innovations. Abuses such as earnings management occur when people exploit this pliancy. Trickery is employed to obscure actual financial

volatility. This, in turn, masks the true consequences of management's decisions. These practices aren't limited to smaller companies struggling to gain investor interest. It's also happening in companies whose products we know and admire.

So what are these illusions? Five of the more popular ones I want to discuss today are "big bath" restructuring charges, creative acquisition accounting, "cookie jar reserves," "immaterial" misapplications of accounting principles, and the premature recognition of revenue.

"Big Bath" Charges

Let me first deal with "Big Bath" restructuring charges.

Companies remain competitive by regularly assessing the efficiency and profitability of their operations. Problems arise, however, when we see large charges associated with companies restructuring. These charges help companies "clean up" their balance sheet -- giving them a so-called "big bath."

Why are companies tempted to overstate these charges? When earnings take a major hit, the theory goes Wall Street will look beyond a one-time loss and focus only on future earnings.

And if these charges are conservatively estimated with a little extra cushioning, that so-called conservative estimate is miraculously reborn as income when estimates change or future earnings fall short.

When a company decides to restructure, management and employees, investors and creditors, customers and suppliers all want to understand the expected effects. We need, of course, to ensure that financial reporting provides this information. But this should not lead to flushing all the associated costs -- and maybe a little extra -- through the financial statements.

Creative Acquisition Accounting

Let me turn now to the second gimmick.

In recent years, whole industries have been remade through consolidations, acquisitions and spin-offs. Some acquirers, particularly those using stock as an acquisition currency, have used this environment as an opportunity to engage in another form of "creative" accounting. I call it "merger magic."

I am not talking tonight about the pooling versus purchase problem. Some companies have no choice but to use purchase accounting -- which can result in lower future earnings. But that's a result some companies are unwilling to tolerate.

So what do they do? They classify an ever-growing portion of the acquisition price as "in-process" Research and Development, so -- you guessed it -- the amount can be written off in a "one-time" charge -- removing any future earnings drag. Equally troubling is the creation of large liabilities for future operating expenses to protect future earnings -- all under the mask of an acquisition.

Miscellaneous "Cookie Jar Reserves"

A third illusion played by some companies is using unrealistic assumptions to estimate liabilities for such items as sales returns, loan losses or warranty costs. In doing so, they stash accruals in cookie jars during the good times and reach into them when needed in the bad times.

I'm reminded of one U.S. company who took a large one-time loss to earnings to reimburse franchisees for equipment. That equipment, however, which included literally the kitchen sink, had yet to be bought. And, at the same time, they announced that future earnings would grow an impressive 15 percent per year.

"Materiality"

Let me turn now to the fourth gimmick -- the abuse of materiality -- a word that captures the attention of both attorneys and accountants. Materiality is another way we build flexibility into financial reporting. Using the logic of diminishing returns, some items may be so insignificant that they are not worth measuring and reporting with exact precision.

But some companies misuse the concept of materiality. They intentionally record errors within a defined percentage ceiling. They then try to excuse that fib by arguing that the effect on the bottom line is too small to matter. If that's the case, why do they work so hard to create these errors? Maybe because the effect can matter, especially if it picks up that last penny of the consensus estimate. When either management or the outside auditors are questioned about these clear violations of GAAP, they answer sheepishly "It doesn't matter. It's immaterial."

In markets where missing an earnings projection by a penny can result in a loss of millions of dollars in market capitalization, I have a hard time accepting that some of these so-called non-events simply don't matter.

Revenue Recognition

Lastly, companies try to boost earnings by manipulating the recognition of revenue. Think about a bottle of fine wine. You wouldn't pop the cork on that bottle before it was ready. But some companies are doing this with their revenue -- recognizing it before a sale is complete, before the product is delivered to a customer, or at a time when the customer still has options to terminate, void or delay the sale.

ACTION PLAN

Since U.S. capital market supremacy is based on the reliability and transparency of financial statements, this is a financial community problem that calls for timely financial community action.

Therefore, I am calling for immediate and coordinated action: technical rule changes by the regulators and standard setters to improve the transparency of financial statements; enhanced oversight of the financial reporting process by those entrusted as the shareholders' guardians; and nothing less than a fundamental cultural change on the part of corporate management as well as the whole financial community.

This action plan represents a cooperative public-private sector effort. It is essential that we work together to assure credibility and transparency. Our nine-point program calls for both regulators and the regulated to not only maintain, but increase public confidence which has made our markets the envy of the world. I believe this problem calls for immediate action that includes the following specific steps:

Improving the Accounting Framework

First, I have instructed the SEC staff to require well-detailed disclosures about the impact of changes in accounting assumptions. This should include a supplement to the financial statement showing beginning and ending balances as well as activity in between, including any adjustments. This will, I believe, enable the market to better understand the nature and effects of the restructuring liabilities and other loss accruals.

Second, we are challenging the profession, through the AICPA, to clarify the ground rules for auditing of purchased R&D. We also are requesting that they augment existing guidance on restructurings, large

acquisition write-offs, and revenue recognition practices. It's time for the accounting profession to better qualify for auditors what's acceptable and what's not.

Third, I reject the notion that the concept of materiality can be used to excuse deliberate misstatements of performance. I know of one Fortune 500 company who had recorded a significant accounting error, and whose auditors told them so. But they still used a materiality ceiling of six percent earnings to justify the error. I have asked the SEC staff to focus on this problem and publish guidance that emphasizes the need to consider qualitative, not just quantitative factors of earnings. Materiality is not a bright line cutoff of three or five percent. It requires consideration of all relevant factors that could impact an investor's decision.

Fourth, SEC staff will immediately consider interpretive accounting guidance on the do's and don'ts of revenue recognition. The staff will also determine whether recently published standards for the software industry can be applied to other service companies.

Fifth, I am asking private sector standard setters to take action where current standards and guidance are inadequate. I encourage a prompt resolution of the FASB's projects, currently underway, that should bring greater clarity to the definition of a liability.

Sixth, the SEC's review and enforcement teams will reinforce these regulatory initiatives. We will formally target reviews of public companies that announce restructuring liability reserves, major write-offs or other practices that appear to manage earnings. Likewise, our enforcement team will continue to root out and aggressively act on abuses of the financial reporting process.

Improved Outside Auditing in the Financial Reporting Process

Seventh, I don't think it should surprise anyone here that recent headlines of accounting failures have led some people to question the thoroughness of audits. I need not remind auditors they are the public's watchdog in the financial reporting process. We rely on auditors to put something like the good housekeeping seal of approval on the information investors receive. The integrity of that information must take priority over a desire for cost efficiencies or competitive advantage in the audit process. High quality auditing requires well-trained, well-focused and well-supervised auditors.

As I look at some of the failures today, I can't help but wonder if the staff in the trenches of the profession have the training and supervision they need to ensure that audits are being done right. We cannot permit thorough audits to be sacrificed for re-engineered approaches that are efficient, but less effective. I have just proposed that the Public Oversight Board form a group of all the major constituencies to review the way audits are performed and assess the impact of recent trends on the public interest.

Strengthening the Audit Committee Process

And, finally, qualified, committed, independent and tough-minded audit committees represent the most reliable guardians of the public interest. Sadly, stories abound of audit committees whose members lack expertise in the basic principles of financial reporting as well as the mandate to ask probing questions. In fact, I've heard of one audit committee that convenes only twice a year before the regular board meeting for 15 minutes and whose duties are limited to a perfunctory presentation.

Compare that situation with the audit committee which meets twelve times a year before each board meeting; where every member has a financial background; where there are no personal ties to the chairman or the company; where they have their own advisers; where they ask tough questions of management and outside auditors; and where, ultimately, the investor interest is being served.

The SEC stands ready to take appropriate action if that interest is not protected. But, a private sector response that empowers audit committees and obviates the need for public sector dictates seems the wisest choice. I am pleased to announce that the financial community has agreed to accept this challenge.

As part eight of this comprehensive effort to address earnings management, the New York Stock Exchange and the National Association of Securities Dealers have agreed to sponsor a "blue-ribbon" panel to be headed by John Whitehead, former Deputy Secretary of State and retired senior partner of Goldman, Sachs, and Ira Millstein, a lawyer and noted corporate governance expert. Within the next 90 days, this distinguished group will develop a series of far-ranging recommendations intended to empower audit committees and function as the ultimate guardian of investor interests and corporate accountability. They are going to examine how we can get the right people to do the right things and ask the right questions.

Need for a Cultural Change

Finally, I'm challenging corporate management and Wall Street to re-examine our current environment. I believe we need to embrace nothing less than a cultural change. For corporate managers, remember, the integrity of the numbers in the financial reporting system is directly related to the long-term interests of a corporation. While the temptations are great, and the pressures strong, illusions in numbers are only that -- ephemeral, and ultimately self-destructive.

To Wall Street, I say, look beyond the latest quarter. Punish those who rely on deception, rather than the practice of openness and transparency.

CONCLUSION

Some may conclude that this debate is nothing more than an argument over numbers and legalistic terms. I couldn't disagree more.

Numbers in the abstract are just that -- numbers. But relying on the numbers in a financial report are livelihoods, interests and ultimately, stories: a single mother who works two jobs so she can save enough to give her kids a good education; a father who labored at the same company for his entire adult life and now just wants to enjoy time with his grandchildren; a young couple who dreams of starting their own business. These are the stories of American investors.

Our mandate and our obligations are clear. We must rededicate ourselves to a fundamental principle: markets exist through the grace of investors.

Today, American markets enjoy the confidence of the world. How many half-truths, and how much accounting sleight-of-hand, will it take to tarnish that faith?

As a former businessman, I experienced all kinds of markets, dealt with a variety of trends, fads, fears, and irrational exuberances. I learned that some habits die hard. But, more than anything else, I learned that progress doesn't happen overnight and it's not sustained through short cuts or obfuscation. It's induced, rather, by asking hard questions and accepting difficult answers.

For the sake of our markets; for the sake of a globalized economy which depends so much on the reliability of America's financial system; for the sake of investors; and for the sake of a larger commitment not only to each other, but to ourselves, I ask that we join together to reinforce the values that have guided our capital markets to unparalleled supremacy. Together, through vigilance and trust, I know, we can succeed.

Thank you.



Misleading Metrics?

Non-GAAP metrics can help tell the story of a company's performance. But is their increasing prevalence starting to render the official earnings numbers less relevant?

BY DAVID McCANN



One way of looking at the Securities and Exchange Commission's increasing focus on companies' use of non-GAAP metrics is as a good-versus-evil drama. On one hand, such measures—generally arrived at by backing out certain nonrecurring or noncash expenses from profitability measures shown in GAAP financial statements—often enable a more precise telling of a company's story

than is possible using only the official numbers. On the other hand, the potential for abuse—misleading investors by willfully painting a rosier picture of performance than is justified—is great.

The SEC, whose main mission in this matter is rooting out misleading information, is worried that the more nefarious motivation is gaining momentum. Over the past year-plus, SEC officials have publicly and repeatedly stated their



Misleading Metrics?

concerns about the proliferation of non-GAAP metrics, which show up in everything from earnings releases to annual and quarterly reports, to proxy statements, to registrations of securities offerings and company websites.

In 2015, just 12% of S&P 500 companies reported only GAAP numbers in their public filings. That was down from 25% in 2006, according to Audit Analytics. And greater usage of the unofficial measures may translate to more rules violations. “We’ve observed a deterioration in compliance with the non-GAAP disclosure rules,” says Mark Kronforst, chief accountant for the SEC’s division of corporate finance.

The kicker is that the gap between the official and unofficial figures is widening. For example, again within the S&P 500, GAAP earnings per share rose from about \$50 in 2009 to just under \$90 in 2015, an 80% gain, according to Investopedia. However, the rise for non-GAAP EPS—often called “adjusted EPS”—was significantly steeper, doubling from \$60 to nearly \$120 over the same period.

That indeed suggests that in some cases sleight of hand may be involved. EBITDA is a commonly used non-GAAP measure, of course, but it has a standard definition that all the key stakeholders—companies, investors, analysts, and regulators—understand. That’s not so for the oft-reported but variably defined “adjusted EBITDA,” or most any other financial measure designated as “adjusted.”

Speaking at a June conference, SEC chair Mary Jo White said, “In too many cases, the non-GAAP information, which

is meant to supplement the GAAP information, has become the key message to investors, crowding out and effectively supplanting the GAAP presentation.”

THE REACTION

How unhappy is the SEC with the presentation of non-GAAP metrics? In 2014, 13% of companies receiving comment letters from the commission in response to 10-K, 10-Q, or 8-K filings were taken to task over, or asked to explain, their non-GAAP presentations, according to Audit Analytics. Last year, that rate climbed to 16%. This year through October? 30%.

That means a company will have only itself to blame if the SEC opts to make an example of the company’s improper use of non-GAAP metrics, suggests corporate attorney Richard Morris of Herrick, Feinstein. “The SEC has

IN MANY CASES, NON-GAAP INFORMATION “HAS BECOME THE KEY MESSAGE TO INVESTORS, CROWDING OUT AND EFFECTIVELY SUPPLANTING THE GAAP PRESENTATION.”

—SEC Chair Mary Jo White



repeatedly stated that it is not a ‘gotcha’ regulator,” he says. “It gives out advice and a very good map of the landscape. I look at what the SEC is saying here as, ‘Here’s the weather report. Be prepared.’”

Morris, who says a client company of his received a comment letter, notes that “some people are in a mood to be

Threshold for Enforcement?

It’s not yet known how vigorously the SEC will ultimately enforce its rules on the use of non-GAAP measures. Until now, the commission has brought charges over such usage only twice, once in 2009 and once in September 2016, against a real estate investment trust, Vereit, formerly known as American Realty Capital Properties.

In both cases, the SEC charged the offending companies with presenting outright fraudulent non-GAAP measures. But many observers believe the SEC is now setting the stage to make examples of companies over what some may regard as less-serious infractions.

A series of compliance and disclosure interpretations released in May 2016 gave further guidance on the SEC’s views of how existing regulations governing non-GAAP usage should be interpreted. Key prohibitions addressed by the C&DI’s included the following:

- Presenting a non-GAAP measure with greater prominence than the presentation of the most comparable GAAP measure. “One of the primary objectives of our work in this area was to improve compliance with the prominence requirement,” says the SEC’s Mark Kronforst.
- Backing out “recurring cash operating expense necessary to run

the business”

- Reconciling EBIT or EBITDA presentations to operating income rather than GAAP net income
- Presenting a measure inconsistently from period to period
- Excluding charges when calculating a non-GAAP metric while not excluding any gains
- Accelerating the recognition of revenue from customers that are billed up-front for products or services to be delivered over time
- Presenting liquidity measures of cash generated on a per-share basis
- Not clearly defining “free cash flow” **► D.M.**

combative with the SEC on this. I find that interesting. This is the SEC trying to help us. And soon, those who don't take the guidance seriously are going to be the recipients of enforcement actions."

Indeed, nearly 8 in 10 companies (79%) made changes to their non-GAAP presentations in their publicly filed financials for the period ending June 30, just six weeks after the SEC issued new compliance and disclosure interpretations (see "Threshold for Enforcement?" page 26), according to a study of 100 companies by law firm Debevoise & Plimpton. That doesn't necessarily mean, though, that those are all the changes necessary to fully comply with non-GAAP disclosure rules.

In fact, some observers think the SEC's lack of strong enforcement to date—sending comment letters but bringing virtually no litigation—may encourage complacency in terms of compliance with the guidance.

"These are early days, and there's probably a ways to go before some companies recognize that this is a material risk," says Dan Zitting, a former auditor who's now chief product officer at ACL, an anti-fraud-conspiracy and software firm.

On the other end of the spectrum, companies could over-react to the threat of enforcement, altering or removing presentations of non-GAAP measures to an extent that they're no longer telling the full story of their value to investors, suggests Neri Bukspan, Americas disclosure leader for Ernst & Young.

"I can see some companies doing that," Bukspan says. "But if you truly feel [your metrics] are appropriate and communicate important and salient information for investors, my suggestion is that you err on the side of sweating it."

THE ART OF DECEPTION

That raises the issue of the chicken-and-egg aspect to non-GAAP information. That is, why are companies providing more non-GAAP information these days? Is it to put the best

possible spin on their financial performance? Or because stakeholders are demanding it?

"You'd like to think that the non-GAAP numbers are out there and presented as they are because investors and analysts want to see them," says Susan Markel, a managing director at AlixPartners and a former SEC chief accountant.

Similarly, Morris points to changes in the way investment advisers are researching companies. "They're looking at more non-financial-statement analytics," he says. "As that kind of analysis has developed, so has the need for companies to provide that data."

Others are more skeptical of companies' motivations. If companies weren't providing non-GAAP reporting, analysts would be coming up with their own measures anyway, and in fact, they do that now, notes Charles Mulford, an accounting professor at Georgia Tech University.

Suggesting another reason for the uptick in non-GAAP metrics, Mulford says, "You could argue that, in an environment where earnings growth is harder to come by, there is more pressure on companies to show growth."

He allows that nonrecurring charges for things like impairments, restructurings, and asset write-downs occur more frequently than nonrecurring gains. Also, it's the nature of GAAP to require more things to be written down than written up, he adds.

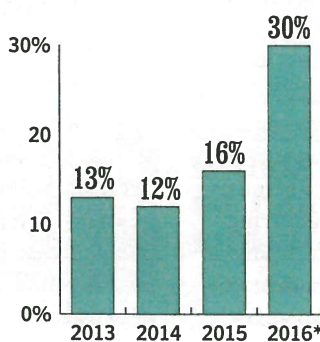
But even in times of strong earnings growth, "companies have a tendency to over-identify nonrecurring items," Mulford says. "They take out more than they should, in an effort, I think, to sway perception of performance."

A few years ago, Mulford was thinking about how he could compare on an apples-to-apples basis the impact of companies' non-GAAP presentations, as there are many different methods of arriving at non-GAAP income. He came up with the idea of simply expressing such measures as a percentage of GAAP income.

Along with a graduate student, he undertook a study of the *Fortune* 100 firms' fiscal-year 2013 financial presentations. The research, published in the July 2016 edition of the *International Research Journal of Applied Finance*, showed that 75% of the companies in the sample reported some type of non-GAAP income, and that for 75% of those, that figure exceeded GAAP income.

SUDDEN FOCUS

Among companies that received SEC comment letters in response to their 10-K, 10-Q, or 8-K filings, the percentage that were taken to task for, or asked to provide more information on, their usage of non-GAAP measures has skyrocketed this year.

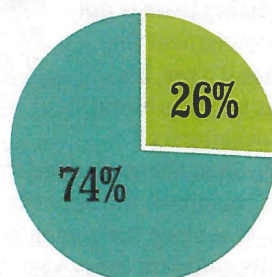


*through October
Source: Audit Analytics

COMPENSATION GAAP

Adjusting GAAP results when determining executives' pay is controversial.

Do you believe non-GAAP measures should be excluded from executive compensation calculations?



■ Yes
■ No

Source: BDO USA survey of 160 corporate directors, September 2016



Misleading Metrics?

And those net positive adjustments weren't small potatoes. For the 56 companies that burnished the view of their earnings, the average outcome was 129% of GAAP income, while the median figure was 118%.

The fact that the data for the study is now three years old is not relevant, Mulford states. "I don't see any compelling reason that we would find major differences today," he says. "The kinds of things companies were doing then are the kinds of things they're doing now." Except, companies are doing those things to greater effect: in 2015, according to Audit Analytics, the non-GAAP numbers that companies used in their official filings increased income 82% of the time.

Mulford, director of Georgia Tech's Financial Analysis Lab, is a purist when it comes to accounting propriety, taking an even harder line on non-GAAP reporting practices than does the SEC.

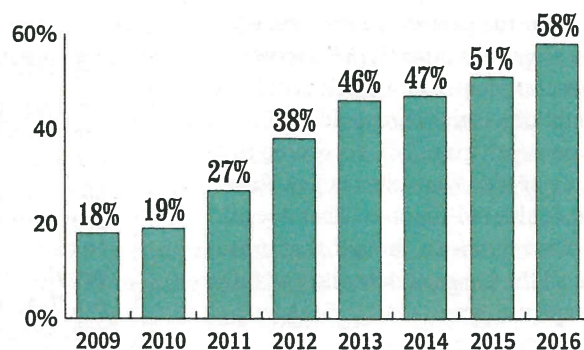
For example, he has a dim view of companies excluding certain merger and acquisition-related expenses—most prominently amortization of acquired intangibles—even though the SEC generally allows it, given the proper presentation. The exclusion is disallowed if a company's acquisitions are so frequent that they're deemed to be recurring. (Under the rules, companies should not label something as "nonrecurring" if it occurred another time within the two previous years or is likely to occur in the next two years.)

"You could argue that amortization of acquired intangibles is nonrecurring," he says, "but of course, the acquiring

POPULAR IN PROXIES

Use of non-GAAP language in proxy statements has increased dramatically since 2009.

% of proxy statements containing non-GAAP language



Source: Audit Analytics

company includes the results of the acquired company in revenues and operating profit. So I don't buy the argument. It's not consistent to include income from an acquisition but exclude expenses of the acquisition."

In fact, Mulford considers all exclusions of amortization and depreciation expense problematic when it comes to calculating non-GAAP measures. "Those are normal recurring expenses," he argues, "and if you exclude them, that's not what profits are." That's a strong position, considering that amortization and depreciation are components of EBITDA,

Shades of Gray

Will the SEC ever be able to issue enough guidance on non-GAAP metrics that it's clear to companies whether they are presenting the metrics correctly? Not likely. And CFOs know it.

A case in point: Hodges-Mace, a maker of employee benefits management software, this year hired external consultants to help revamp one of its products. Given the company's relatively small size, the six-figure expense was material to its financial results.

The company categorized it as a nonrecurring expense and for that reason backed it out of GAAP earnings when creating a non-GAAP income measure.

"We're not going to do that next year, so it's a one-time investment

in improving the product," says Mace-Hodges CFO Ron Shah. "We needed outside expertise to evaluate the product's functionality and scalability and deliver us a report, and our existing team is going to implement the changes. To me, it's not the same as hiring more developers."

Still, Shah acknowledged that others could take the opposite viewpoint—that since the company updates its software every year, the use of consultants versus internal resources doesn't make the expense nonrecurring. "That would be a legitimate position," he says.



Ron Shah, CFO of Mace-Hodges

Perhaps the Securities and Exchange Commission would take that view were it more focused on the activities of midsize and small private companies such as Mace-Hodges. For those companies, the audiences that count most are typically their equity investors and lenders. "I've had this conversation with them,

and they fully support us on this," says Shah.

He adds: "When I'm in the investor relations or lender relations role, I'm arguing the point that I believe supports my position. But I have a healthy respect for how someone could have a different perspective."

► D.M.

which a large majority of companies report, even if adjusted in some fashion.

By the SEC's lights, those exclusions are allowable, as they are not cash expenses—also true of stock-based compensation expense, another common and permitted exclusion.

Regardless, Mulford, simply put, is not a fan of EBITDA, period. "It's a terrible measure of performance for shareholders," he says. "It's not profit. It's a crude measure of cash flow available to service debt. But from a shareholder's point of view, debt has to be taken [into account]. You're trying to get at earnings that are available for the shareholders, and EBITDA is just not it."

INEVITABLY SUBJECTIVE

Unsurprisingly, CFOs aren't exactly thrilled by views such as Mulford's. "There are black-and-white guys, but there's a good amount of subjectivity when it comes to depreciation and amortization," says Tyler Sloat, finance chief at Zuora, an enterprise software firm. "You buy intangibles and amortize them over seven years, because you and the auditors agreed on seven years. But why not five years instead of seven? I don't know."

"Whenever you apply subjectivity to accounting treatments upstream from actual results," Sloat continues, "those results get diluted. Then how do you normalize them back to remove that subjectivity? That, I would argue, is a big part of the purpose of EBITDA."

While Sloat, like any CFO, is regularly immersed in traditional financial reporting, he's also very focused on a different kind of metrics. They're not what many would think of as non-GAAP metrics, because there is nothing in GAAP to which they could be reconciled.

Zuora makes and sells software-as-a-service applications for the booming market of companies with subscription business models. Investors in such companies are far less interested in GAAP numbers than in other metrics that are keys to assessing such businesses.

The best example of such a metric, according to Sloat, is net customer retention rate. "In the subscription world, having a net retention rate over 100% is really important," he says. "It shows that your upsell is outweighing your customer churn. It provides your investor base with enough information to know that if you spend a lot of money to acquire new customers, you'll be able to keep and monetize those customers for a long time."

Other concepts particular to subscription businesses include annual recurring revenue, churn, and customer acquisition costs. "None of these are GAAP numbers, yet companies are being run based on them, and they're what management is being held accountable for," says Sloat.

Morris, the corporate attorney, says he recently heard

a presentation about a new subscription-based music-streaming service. "Throughout the entire analysis, not once did they talk about this service's financials," he says. "They were talking about market share, number of subscribers, and the size of their portfolio of music. And take some of the biggest companies we have now—when they were coming out, people weren't looking at their balance sheets."

MORE TO COME?

The SEC intended not to create a complete road map for the use of non-GAAP metrics, but rather to articulate some key concerns. Still, given the divergent perspectives on this matter, should the SEC provide more guidance? Opinions vary on that, too.

In a poll of 160 board members at public companies by accounting firm BDO, participants were split almost evenly as to whether they'd like to see more guidance, with 51% in

EBITDA "IS A TERRIBLE MEASURE OF PERFORMANCE FOR SHAREHOLDERS.... IT'S A CRUDE MEASURE OF CASH FLOW AVAILABLE TO SERVICE DEBT."

—Charles Mulford, Georgia Tech University

favor and 49% opposed. But the result doesn't necessarily mean boards have radically different opinions, according to Paula Hamric, a partner in BDO's SEC department. Rather, it may reflect that they're not quite sure how to see it.

"Certainly, additional guidance would simplify the compliance effort," says Hamric. "But right now, the SEC staff is still trying to figure out what constitutes 'misleading.' It's easy for a company to correct issues of prominence in presenting non-GAAP metrics ... you change the order of some text, you put the non-GAAP numbers closer to the GAAP ones. It's much harder to define what's misleading. More guidance around that would help."

However, Hamric also observes that "having too much proscriptive guidance may end up reducing the usefulness of non-GAAP disclosures, because what's meaningful for one company is not meaningful for another."

For Markel, the former SEC chief accountant, the existing guidance is "pretty good" and gives the commission a framework for enforcement against companies that "take advantage" of the leeway the rules provide. If there is to be more guidance, it won't come for some time, she opines.

Morris thinks otherwise. The C&DI's issued in May were "really just the opening statement by the SEC," he says. "There is a lot of discussion about this, both at the SEC and in accounting circles. This is not the end." **CFO**

DAVID McCANN IS A DEPUTY EDITOR OF CFO.

